Connecticut Financial Questions & Answers

Q1: What is Connecticut's state income tax structure?

A: Connecticut enforces a progressive income tax system with seven brackets ranging from 3.0% to 6.99%. The top rate applies to single filers earning over $500,000 and joint filers over $1,000,000.

Q2: How are real estate property taxes determined in Connecticut?

A: Property taxes are levied entirely at the municipal level based on 70% of the property's appraised fair market value, multiplied by the town's specific mill rate (one mill equals $1 of tax per $1,000 of assessed value).

Q3: What is the standard sales and use tax rate in Connecticut?

A: The general state sales tax rate is 6.35%. However, luxury items (such as vehicles over $50,000 or jewelry over $5,000) are taxed at a higher rate of 7.75%, while certain services and digital goods are taxed at specialized rates.

Q4: Does Connecticut levy an estate or inheritance tax?

A: Connecticut is unique as it is the only state with a gift tax that mirrors its estate tax structure. The state levies an estate and gift tax on estates valued over a high threshold ($13.61 million matching the federal exemption), with a flat rate of 12%.

Q5: How does Connecticut tax corporate net income?

A: Corporations operating in Connecticut are subject to a flat corporate business tax rate of 7.5% on their net income apportioned to the state, subject to a minimum tax of $250.

Local Cost of Living (COL) Comparison Index

This comparative framework provides an institutional baseline indexing living costs relative to the national average (set at 100.0).

State Jurisdiction	Composite COL Index	Housing Cost Metric	State Income Tax Burden
Colorado	105.5	118.2	4.40% Flat Rate
Connecticut	114.8	124.6	

State Jurisdiction	Composite COL Index	Housing Cost Metric	State Income Tax Burden
			3.00% – 6.99% Progressive
Delaware	100.8	101.4	2.20% – 6.60% Progressive
Florida	102.1	108.5	0.00% (None)
Georgia	94.2	86.7	5.39% Flat Rate

Source: Aggregated regional financial metrics adjusted for the 2026 fiscal period.

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